22CB502 - Business Strategy

1. Assertion and Reason – ShopPlus

- **Correct Answer**: **a) Both the assertion and the reason are true, and the reason correctly explains the assertion.**

- **Explanation**: Buyer experience is crucial in strategy, and superior experience does improve loyalty and sales.

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2. Learning School & Flexibility

- **Answer**: The **Learning School** promotes strategy as an emergent process through learning and adaptation. During a product launch, markets are volatile. Flexibility is critical—learning from market feedback ensures continuous improvement and better alignment with customer needs.

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3. Strategic Approach for TechPro

- **Answer**: A **hybrid strategy** is ideal. Use Design School for long-term direction (SWOT-based planning) and combine it with Learning School to stay responsive. For example:
    - Use SWOT to guide core principles.
    - Encourage teams to experiment.
    - Monitor feedback and adapt strategy iteratively.

4. Match the following

Terms (A)	Definitions (B)	Examples (C)
A1) Strategic Management	**B2** - The systematic approach to planning, implementing, and monitoring strategy	**C2** - Implementing a strategic plan to integrate EVs into lineup
A2) Competitive Analysis	**B1** - Analyzing competitors' strategies, strengths, and weaknesses	**C3** - Ford investing in EV tech to compete with Tesla
A3) Consumer Trends	**B4** - Examining and responding to customer preference shifts	**C4** - Analyzing demand for eco-friendly vehicles
A4) Resource Allocation	**B3** - Distribution/use of resources for strategy/objectives/efficiency	**C1** - Allocating budget for R&D for electric vehicle development

5. i) Do you agree that tactical management is more critical in a declining market than in a growing market?

Yes, I agree.

Justification:

- In a **declining market**, businesses face uncertainty, reduced demand, and intense competition. This requires **quick decision-making**, resource optimization, and agile adjustments, all of which are functions of **tactical management**.

- Tactical management focuses on **short-term goals and execution** of strategies. In ShopPlus's case, it involves actions like:

    - Rapid deployment of e-commerce infrastructure

    - Targeted promotions and pricing adjustments

    - Workforce reallocation for online operations

    - Immediate cost control measures

- On the other hand, in a **growing market**, long-term strategic planning takes precedence as there is more stability and opportunities for expansion, with less need for firefighting or rapid re-alignment.

Conclusion: Tactical management is vital in a declining market to **stabilize operations, retain customers, and survive** before the long-term strategy yields results.

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ii) Potential Impact of Traditional Marketing vs Targeted Digital Marketing in Justifying the Strategic Management Plan

Aspect	Traditional Marketing	Targeted Digital Marketing
Reach	Broad and non-specific (TV, radio, print)	Precise targeting (social media, email, search engines)
Cost-effectiveness	Expensive with low ROI in global markets	High ROI due to targeted spend and performance tracking
Customer Insight	Limited feedback; difficult to measure impact	Real-time analytics and behavioral insights help shape campaigns dynamically
Adaptability	Less flexible, campaigns take time to change	Highly adaptable based on performance and user interactions
Relevance	May miss younger and digital-savvy consumers	Reaches users based on their preferences, search behavior, and online habits

Conclusion:

- For ShopPlus, shifting to **targeted digital marketing** aligns directly with their **strategic goals**:

    - Reaching diverse global markets efficiently (especially Asia & Africa)
    - Understanding consumer behavior via **data analytics**
    - Enhancing **customer experience** with personalized offers and communication
- Traditional marketing has value in brand building but is **less agile and data-driven** for current market demands.

6. EcoSprout Scenario

a) Benefits of Online Presence & Influencer Collaboration:

- Wider reach
- Cost-effective marketing
- Builds brand trust
- Engages eco-conscious audience
- Influencers add credibility and targeting

b) Ways New Products Meet Needs:

1. Use of eco-friendly materials (e.g., compostable packaging)
2. Urban-friendly gardening kits (e.g., compact, vertical solutions)

7. Process Mapping Analysis Techniques

- **Answer**:
    - Value Stream Mapping
    - Root Cause Analysis
    - Time and Motion Study
    - Swimlane Diagrams
    - Bottleneck Analysis

8. Business Process Order & Justification

- **Correct Order**:
    1. Define your goals and objectives
    2. Set actions and assign stakeholders
    3. Test the process
    4. Run or implement the process
- **Justification**: Goals first, then responsibilities, test before launching.

9. Competitive Strategy of Nike

- **Answer**: **c) Using sports stars for advertising**
- **Justification**: Nike uses **differentiation strategy** via emotional branding, endorsements, and lifestyle positioning.

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10. True or False Statements

1. **True** – Cost leadership aims at low-cost products.
2. **True** – Differentiation involves unique features.
3. **False** – Focus strategy targets narrow segments, not broad markets.
4. **True** – Cost leadership benefits from economies of scale.

11. Newspaper Ad Design

HIRING:

QUALITY CONTROL MANAGER

A reputed detergent company seeks a tech-savvy multitasker with strong analytical skills.

REQUIREMENTS:

- Experience in quality management
- Ability to handle pressure
- Knowledge in automation

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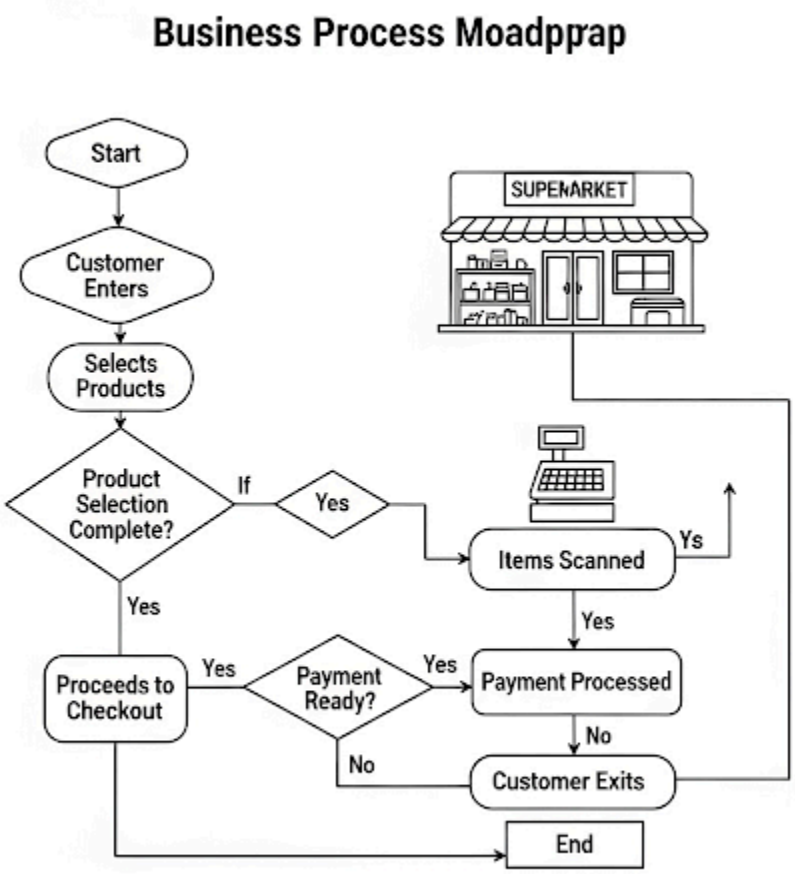
12. Supermarket Process Map



13. Value Chain Statement

- Answer: No
- Justification: Some activities like innovation or customer service create more value than others. Focus should be on enhancing those for advantage.

14. Advantages related to Porter's Five Forces model:

The correct advantage statements are:

- a. Organizations can gain a deep understanding of how profits are distributed among the five forces within a specific industry.

- c. The framework is intended to inform business strategy, not merely to assess industry attractiveness.

- d. The model offers business leaders a foundation to assess their company's strengths and weaknesses relative to the industry.

- g. The model encourages strategists to think comprehensively about industry competition and dynamics, revealing hidden opportunities for investment and growth.

- h. It provides a thorough overview of an industry, highlighting critical factors that can impact a company's market position.

15. Three Key Activities Contributing to Competitive Advantage:

1. **Operations**

    - Lean manufacturing with automation reduces cost and enhances consistency, making products affordable and scalable.

2. **Marketing & Sales**
    - Niche marketing focused on eco-conscious brands increases brand loyalty and attracts premium clients.
3. **Service**
    - Providing value-added eco-impact reports helps B2B clients demonstrate sustainability, building trust and repeat business.

16. Product Life Cycle – Maturity > 12 years

- Correct Answers:
  a. Coca-Cola, c. HP Printers, f. Nintendo Switch

17. IKEA's Cost Leadership Steps

- Bulk sourcing (Inbound Logistics)
- Flat-pack design (Operations)
- Self-service + DIY model (Service)
- Direct selling via stores (Outbound)
- Low-cost promotion strategies (Marketing)

18. Strategies Used:

- **Company X**:
  Differentiation Strategy
    - Focuses on premium features, innovation, design, and R&D
    - Targets high-end customers willing to pay more for uniqueness
- **Company Y**:
  Cost Leadership Strategy
    - Focuses on minimizing production costs and offering affordable products
    - Targets price-sensitive customers with essential features and reliability